FACULTY OF ARTS

DEPARTMENT OF ACCOUNTING AND FINANCE

FIRST SEMESTER EXAMINATIONS 2024/2025

COMPANY AND PARTNERSHIP LAW (FULL TIME)

COURSE CODE: BAT 209

TIME ALLOWED: 1HR 45 MINS

SECTION A (ANSWER ALL QUESTIONS IN THIS SECTION)

1. **Which document defines the internal rules and procedures of a company?**
   A. Memorandum of Association
   B. Certificate of Incorporation
   C. Articles of Association
   D. Share Certificate
2. **Which type of company offers shares to the public?**
   A. Private Limited Company
   B. Public Limited Company
   C. Limited Liability Partnership
   D. Partnership Firm
3. **Who owns a company limited by shares?**
   A. Directors
   B. Shareholders
   C. Employees
   D. Promoters
4. **A director owes a duty to act in the best interest of:**
   A. The creditors
   B. The shareholders
   C. The company
   D. The employees
5. **The term "ultra vires" refers to:**
   A. Acts beyond a director's authority
   B. Acts within a company's objectives

C. Acts by shareholders
D. Fraudulent acts.

6. **The capital contributed by shareholders is known as:**
A. Equity Capital
B. Loan Capital
C. Fixed Capital
D. Debenture Capital

7. **A company is considered a legal person because it:**
A. Has directors
B. Has perpetual succession
C. Pays taxes
D. Is registered

8. **What is the minimum number of members required to form a private limited company in most jurisdictions?**
A. 1
B. 2
C. 3
D. 5

9. ***In a private limited company, what is the maximum number of members allowed?***
A. 25
B. 50
C. 100
D. 200

10. **The liability of members in a company limited by shares is:**
A. Unlimited
B. Limited to the company's assets
C. Limited to the nominal value of shares held
D. Limited to personal assets

11. ***What document contains the rules for the internal management of a company?***
A. *Memorandum of Association*
B. *Articles of Association*
C. *Certificate of Incorporation*
D. *Shareholders' Agreement*

. ***The "Doctrine of Ultra Vires" restricts a company to:***

A. Operating in foreign markets
B. Activities stated in its objects clause
C. Issuing shares to the public
D. Borrowing funds

13. **The Certificate of Incorporation is issued by:**
A. The Board of Directors
B. Shareholders
C. The Registrar of Companies
D. The Secretary of State

14. **Which of the following is true of a Public Limited Company (PLC)?**
A. Cannot issue shares to the public
B. Can issue shares to the public
C. Must have at least 1 director
D. Can have a maximum of 100 shareholders

15. **A company is a separate legal entity. This principle was established in:**
A. Salomon v Salomon & Co Ltd
B. Foss v Harbottle
C. Donoghue v Stevenson
D. Adams v Cape Industries

16. **What does a company's Memorandum of Association primarily contain?**
A. Rules for conducting meetings
B. Company's objects and structure
C. Detailed financial statements
D. Employment contracts

17. **The duty to act in the best interest of the company is a duty of:**
A. Shareholders
B. Employees
C. Directors
D. Creditors

18. **In which document are the company's initial subscribers listed?**
A. Articles of Association
B. Memorandum of Association

A. Shareholders
B. Board of Directors
C. Company Secretary
D. External Auditors

31. The term "limited liability" means:

A. Shareholders are liable for company debts
B. Liability is capped to unpaid shares
C. Directors' liability is unlimited
D. Creditors own company assets

32. The primary role of the company secretary is to:

A. Manage human resources
B. Ensure legal and regulatory compliance
C. Prepare financial statements
D. Hire employees

33. Which of the following is a characteristic of a public limited company (PLC)?

A. Cannot issue debentures
B. Can offer shares to the public
C. Limited to 50 shareholders
D. No need to file financial statements publicly

34. A director who acts dishonestly or in bad faith breaches their:

A. Fiduciary Duty
B. Duty of Care and Skill
C. Personal Contract
D. Employment Agreement

35. A "shadow director" is someone who:

A. Is officially appointed as a director
B. Controls directors but is not formally appointed
C. Manages day-to-day affairs
D. Is an external auditor

36. What is the purpose of a special resolution?

A. To decide routine matters
B. To approve significant changes (e.g., altering the Articles)
C. To appoint employees
D. To issue dividend payments

37. In the event of insolvency, who is paid first?

A. Shareholders
B. Employees
C. Secured Creditors
D. Directors

38. What is a debenture?

A. A type of share
B. A loan instrument issued by a company
C. A resolution passed by directors
D. A dividend payment

39. "Shareholders' Pre-emption Rights" give shareholders the right to:

A. Buy new shares before outsiders
B. Remove directors
C. Call general meetings
D. Receive dividends

40. A "call" on shares refers to:

A. Issuing new shares
B. Paying the unpaid portion of shares
C. Selling shares
D. Transferring shares

SECTION B

ANSWER ONLY ONE (1) QUESTION

1. Critically examine the legal duties of directors in a company, focusing on their fiduciary duties, duty of care and skill, and duty to act in good faith. How do these duties serve to balance the interests of the company, its

C. Certificate of Incorporation
D. Balance Sheet

19. Who owns a company limited by shares?

A. The Board of Directors
B. Creditors
C. Shareholders
D. Employees

20. When directors act outside the scope of their powers, it is known as:

A. Ultra Vires
B. Intra Vires
C. Quorum breach
D. Ratification

21. A resolution passed by a 75% majority of members is called:

A. Ordinary Resolution
B. Special Resolution
C. Board Resolution
D. Written Resolution

22. What is the main purpose of a company's Annual General Meeting (AGM)?

A. To dissolve the company
B. To elect new directors
C. To review the company's performance
D. To amend the Articles

23. What is a "quorum" in a meeting context?

A. The number of votes required
B. The minimum number of members needed
C. The number of directors present
D. The percentage of shares issued

24. Directors' duties under most corporate laws include:

A. Fiduciary duties
B. Personal profit maximization
C. Employment law compliance
D. Payroll management

25. Who can initiate a derivative action on behalf of a company?

A. Directors
B. Shareholders
C. Employees
D. Creditors

26. Which of the following is NOT a type of share capital?

A. Authorized Capital
B. Issued Capital
C. Declared Capital
D. Paid-Up Capital

27. The principle of "lifting the corporate veil" allows courts to:

A. Appoint directors
B. Ignore the company's separate legal personality
C. Change the Articles of Association
D. Declare dividends

28. A company's capital structure is primarily composed of:

A. Share Capital and Debt
B. Profits and Losses
C. Salaries and Bonuses
D. Assets and Liabilities

29. What is a "pre-incorporation contract"?

A. Contract signed after incorporation
B. Contract signed by promoters before incorporation
C. Contract signed by shareholders
D. Employment contract

30. Which body is responsible for the day-to-day management of a company?

shareholders, and other stakeholders? Discuss with reference to relevant case law and statutory provisions.

2. Discuss the principle of *separate legal personality* established in *Salomon v. Salomon & Co Ltd* [1897], and explain its significance in modern company law. Under what circumstances can the courts "pierce the corporate veil" and disregard this principle?